

importantly, however, broker competition propels innovation and advancement that continue to benefit investors.

Third party consultants also serve as an essential service to the industry. Not only can they be used by the buy-side to outsource numerical analysis, but more importantly, these consultants have access to a larger universe of trades for various investment styles and algorithms, both robust and balanced, and are thus positioned to provide proper insight into performance and trends. Comparatively, brokers typically only have access to trades using their algorithms and investors only have access to their trades. Access aside, the statistical testing procedure of these consultants cannot remain a black box; transparency is crucial in order for the industry to extract value from their services. Transaction cost analysis remains an essential ingredient to achieve best execution. When administered properly, improved stock selection and reduced costs have proven to boost portfolio performance. As such, advancement of TCA models is an essential catalyst to further develop the algorithmic trading and market efficiency space.